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Research Briefing | France

The battle for pension reform has started

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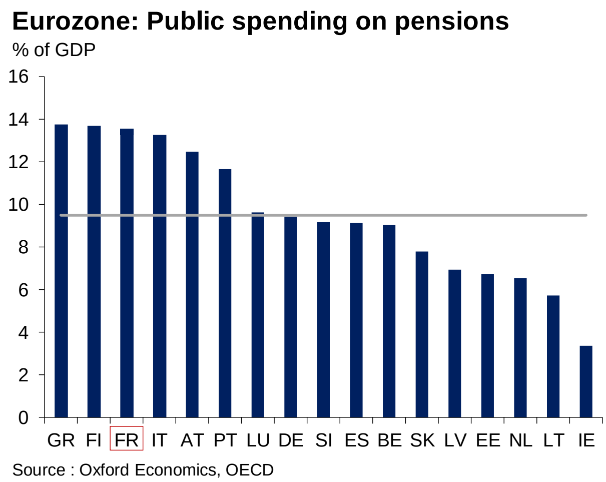
- **After almost three years of preparation, the French government has finally presented its pension system reform, a flagship campaign promise of President Macron. We estimate this ambitious systemic reform would help to enhance public finances with public debt projected to be 4pp of GDP lower by 2040 relative to the absence of reform. Respecting a "financial golden rule" of a zero deficit would cut debt by an additional 2pp. Moreover, thanks to the incentive to work longer, potential GDP would be 1.3% higher by 2040.**
- **However, adoption of the reform as initially presented is far from guaranteed as social discontent is forcing the government to review its proposal. It is very likely the original project will be watered down. The sustainability and complexity of the pension system is likely to remain a recurrent issue for future governments.**

Despite relatively better demographic developments than European peers, France's public expenditure on pensions, at 14% of GDP, is among the highest in the region (**Figure 1**). Indeed, its pay-as-you-go system offers particularly advantageous conditions to retirees but weighs on public finances and limits growth potential. Moreover, the current system is opaque and complex – with multiple regimes co-existing, several exceptional rules and multiple parameters entering in the calculations for entitlements – what makes its financial management particularly difficult. Over the past 30 years, every French president has tried to reform the chronically deficit-running pension system. Emmanuel Macron is no exception and a "systemic reform" of the pension system was a key promise of his campaign. After three years of preparation, the government finally took the plunge and presented a draft for an ambitious reform last December. In this *Research Briefing*, we aim to assess the economic impact of the measures proposed by the government, even if key points of the reform are still under negotiation.

Figure 1: French public expenditure on pensions are among the highest in Europe



Due to the generosity of the French pension system and adverse demographic developments, public expenditure on pensions is among the highest in the region at 14% of GDP. Only Greece and Finland spend more. This weighs on public finances as the pension system is chronically in deficit.

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A five-axis systemic reform

The choices made by the government broadly respond to the key economic challenges the current system is facing. In one way or another, the reform's different axis are lined up with three main aims: (i) increasing the ratio of working-age population to retirees, (ii) controlling the amount by which pensions increase every year and (iii) simplifying the system to increase its transparency and better pilot its financial viability. The draft reform is centred around five key axes:

1) **Set a universal scheme:** More than 40 "special regimes" co-exist today in France, which are specific mandatory pension schemes but with more advantageous rules. They account for less than 5% of beneficiaries. Several of these present significant financial deficits, forcing the State to grant exceptional subsidies for balancing their accounts (**Figure 2**) each year. The government wants to simply abolish all the special regimes and include the beneficiaries into a "unique and universal" scheme, with equal rules for everyone.

2) **A systemic reform towards a point-based scheme:** The government aims to revamp the system entirely and replace it by a point-based scheme. Contributions will be transformed into "points", which would be converted to euros at retirement based on a "representative value" decided annually by social partners. This would help to better control the financial sustainability of the system.

3) **Introducing a "pivotal age":** While maintaining the minimum retirement age at 62 - which is among the lowest in Europe (**Figure 3**) -, a "pivotal age" will be needed to be reached to benefit from a full-pension rate. Official estimates suggest a pivotal age of 64 by 2027 would balance the system's financial deficit.

4) **Indexing pension on earnings rather than inflation**, although no more details have been given. The French statistical bureau INSEE has been asked to create a new index for the purpose, which suggest the new indexation will include at least partially developments in the wage-bill rather than average earnings. This would help ensure a financial balance as the pensions would evolve closer to the contribution base, which has not been the case lately (**Figure 4**).

5) **Setting a financial "golden rule"** that ensures the system remains on balance by adapting any of the levers to adjust the accounts: indexation methods, the "pivotal age", the point value, contribution rates. While good in principle, the idea fails to convince us since no automatic correction mechanism is planned.

Figure 2: Special regimes weigh on public finances

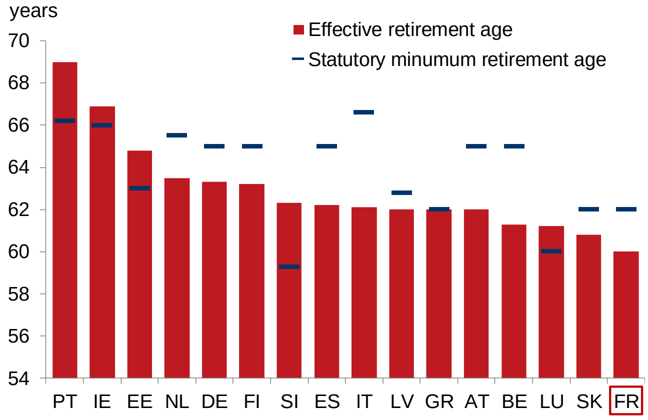
Extraordinary subsidies granted to special regimes in 2019

Regime	EUR mn	Minimum retirement age	Basis for pension calculation
for reference: Conditions in the General regime		*Minimum retirement age is 62*	*Pensions calculated on the 25 highest annual earnings*
Civil servants	1397	60	last 6 months
Mines	1093	55	has an upscaling coefficient
National railway (SNCF)	3196	55 ; 50 for train drivers	last 6 months
Parisian Public transport (RATP)	710	55 ; 50 for train drivers	last 6 months
Marines	813	55	advantageous conditions
Parliament	90	62	last 6 months
Opéra de Paris	14	57 ; 47 for ballet dancers	3 better years
Other	219	-	-
Total	7532		
% of GDP	0.3		

Source: Oxford Economics, government - CCSS Sep-19

Figure 3: France's effective retirement age is the lowest in Europe

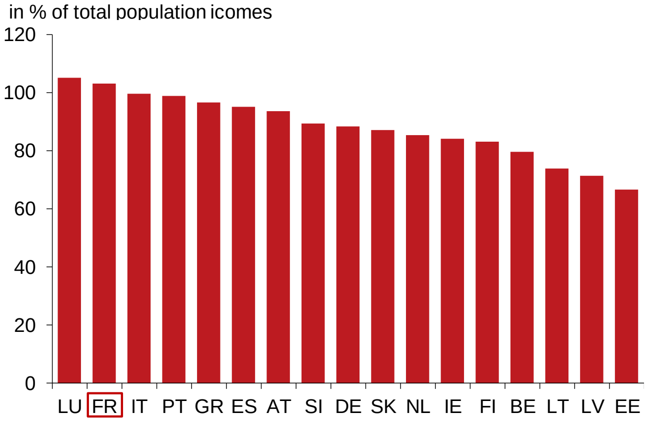
Statutory and effective retirement age



*men, for a person who entered the labour force at age 20
Source : Oxford Economics/OECD

Figure 4: In France, incomes of the retired are above those of the total population

Incomes of people aged over 65



*for mandatory and voluntary regimes, men, average earners
Source : Oxford Economics/Haver Analytics

The reform would help relieve public finances and increase potential output

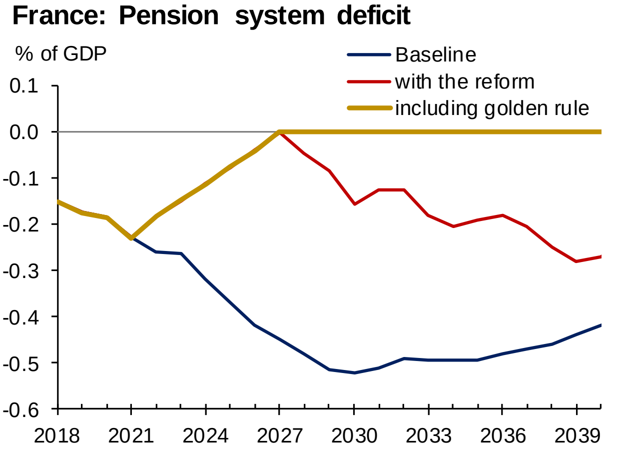
The reform would relieve public finances somewhat but is particularly intended to simplify the very complex French social system and would also lift potential output by increasing the participation rate.

Assuming pension-related public spending will remain relatively stable as a percentage of GDP as its current level (14%, **Figure 1**), the financial deficit of the pension system would continue widening to peak at slightly above 0.5% of GDP in 2030 if no reform is implemented. It should then begin narrowing very moderately thanks to the reforms adopted in 2010 – which increased the age of automatic entitlement to a full pension from 65 to 67 from 2027 – but would remain sizable at 0.4% of GDP by 2040.

Implementing the reform as proposed by the government would narrow this deficit significantly. The introduction of a “pivotal age” at 62 from 2022 and its gradual increase to 64 by 2027 should balance the pensions system deficit by 2027. However, if the latter then evolves only in line with life expectancy while other parameters remain equal and no golden rule is introduced or respected, the system would very rapidly show a financial deficit again. It will be, however, smaller than in the no-reform scenario at just below 0.3% of GDP by 2040 (**Figure 5**). The effects will also be visible in the public debt reduction. With the reform, public debt would be 4 points of GDP below our baseline by 2040. Including a golden rule would cut an additional 2 points (**Figure 6**).

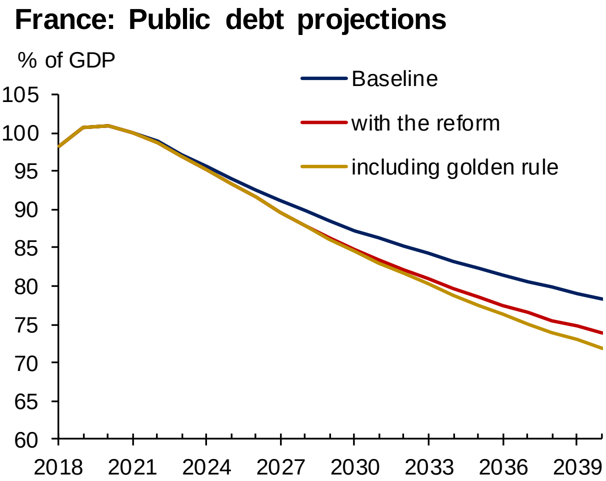
Beyond its implications on public finances, the introduction of this “pivotal age” would have a positive side effect on the economy’s potential output as, by incentivising to work longer, the labour supply in the economy will mechanically increase. The participation rate of the older cohorts is likely to gradually increase, particularly for the 60-64 cohort. We think the latter could gain no less than 10pts by 2040 to 43% (still far below current rates for the 55-59 at 77%), while the others would also rise but more moderately. Overall, we estimate this could add up to 2.0mn additional people to the labour force by 2040. By plugging these numbers into our Global Economic Model and assuming these extra workers could be absorbed by the labour market, we estimate potential GDP could grow by an additional 0.06pts per year, and be 1.3% higher than in the baseline by 2040 (**Figure 7**).

Figure 5: The reform will relieve the pension system financial deficit



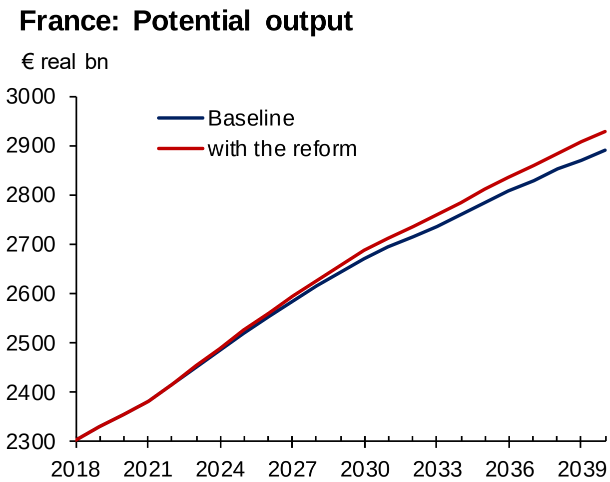
Source : Oxford Economics/Official assessment impact/Haver Analytics

Figure 6: The pension reform will help to reduce the public debt



Source : Oxford Economics/Haver Analytics

Figure 7: The reforms would lift potential GDP by 1.3% by 2040



Source : Oxford Economics/Haver Analytics

The reform is likely to be watered down

Respecting a long-dated tradition of fierce opposition to any change in pension advantages, the reform was received more than coldly despite its potential positive economic effects at a macro level (**Figure 8**). General strikes begun in early-December, disrupting strongly economic activity notably in Paris. While the strikes are driven by the beneficiaries of the special regimes, more broadly, unions are fiercely opposed to the introduction of the pivotal age or any incentive to work longer. We estimate the strikes shaved quarterly GDP growth by 0.1pts in each Q4 and Q1.

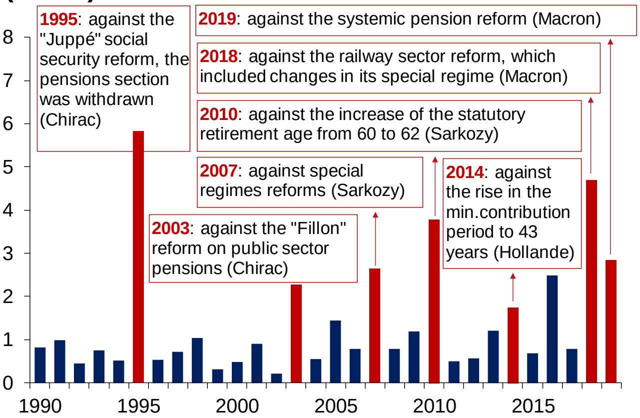
Against the massive social movements, the government accepted to withdraw "temporarily" the pivotal age from the first draft it presented to the Parliament in early-February. In exchange, it urged social partners to provide by the end of April an alternative to ensure the financial balance of the pension system by 2027. But there are not multiple alternatives (**Figure 9**). One option is to increase the contribution rates, which is the unions' preferred alternative notably on high wages. But employers oppose strongly as they refuse to see the French tax burden, which is already the highest among the OECD at 46% of GDP, rise further. Another option would be to cut pensions, but this wouldn't be in line with neither unions' nor employers' objectives.

The battle was also fierce in parliament where the first draft received more than 40,000 amendments, forcing the government to approve it by the decree and translating directly to the Senate, where it is currently under review. But the firmness of the government against the special regimes has gradually softened, and several concessions have already been granted either by extending the transition period towards the universal regime, or by agreeing to maintain specific advantages. The government targets a final and approved reform by the end of the year.

But in this context, it is hard to imagine how much will remain of the initial reform. We still believe key measures will be adopted, notably the switch to a point-based scheme and the end certain special regimes' advantages. But, as with the past pension reforms attempts, it is very likely the original project will be watered-down. This means pensions will continue to be an issue for future governments – and probably be a key campaign topic ahead of the 2022 elections – as demographic developments will keep the system under pressure (**Figures 10**).

Figure 8: All attempts to reform the pension system have faced increased social discontent

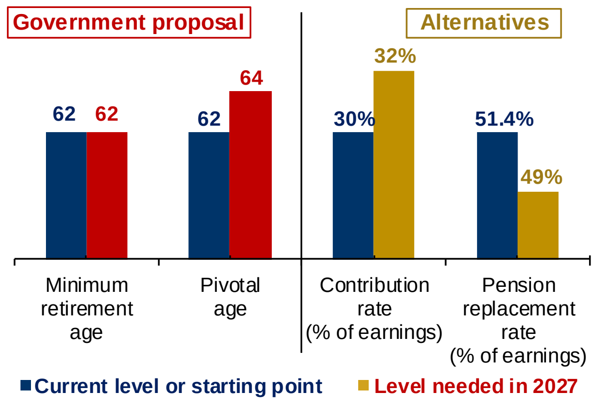
France: Days/agent lost in the railway company (SNCF) due to strikes



Source : Oxford Economics/Haver Analytics

Figure 9: There are not many alternatives to the pivotal age to ensure the system's balance

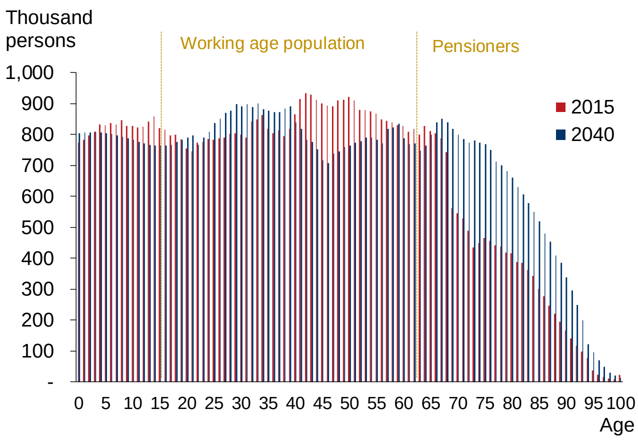
France: Alternatives to balance the pension system by 2027



Source : Oxford Economics/Haver Analytics

Figure 10: Demographic developments will keep the pension system under pressure

France: Population structure 2015-2040



Source : Oxford Economics/Haver Analytics